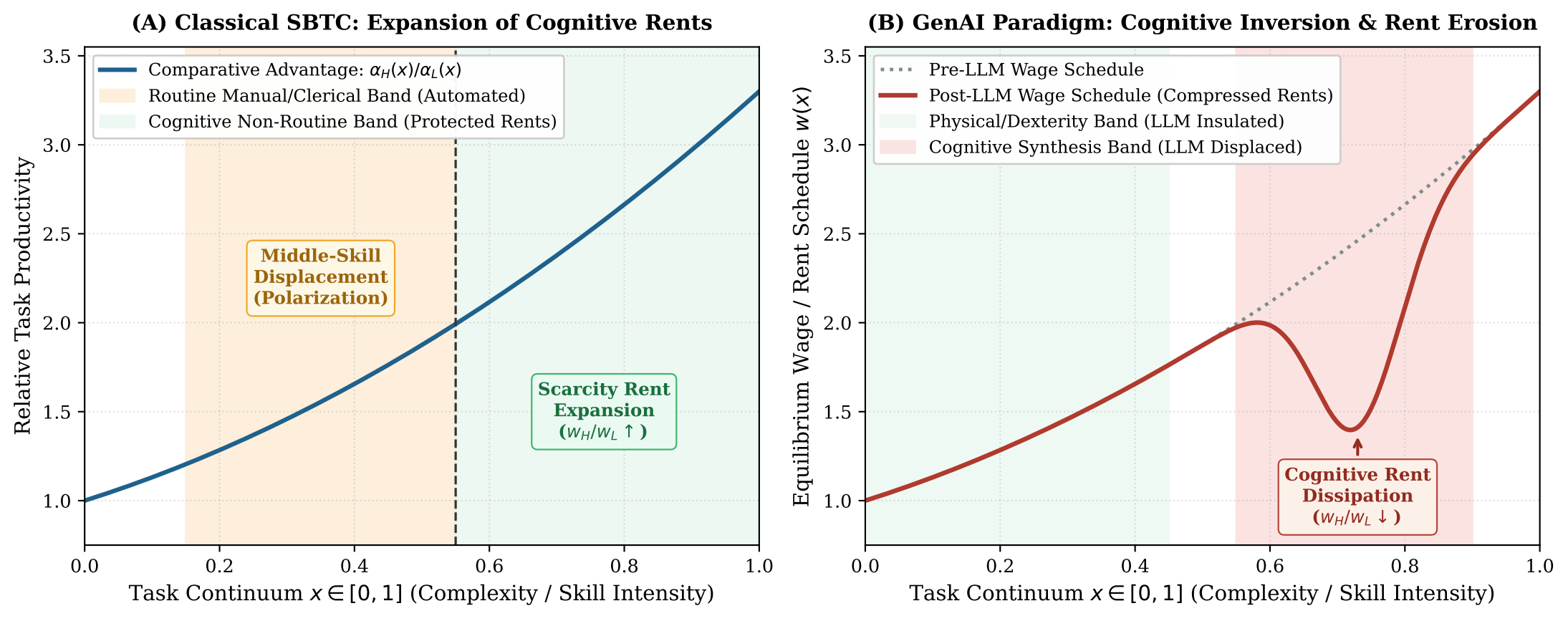
(A) Classical SBTC: Expansion of Cognitive Rents
Comparative Advantage: $\alpha_H(x)/\alpha_L(x)$
Routine Manual/Clerical Band (Automated)
Cognitive Non-Routine Band (Protected Rents)
Middle-Skill Displacement (Polarization)
Scarcity Rent Expansion ($w_H/w_L \uparrow$)
Relative Task Productivity
Task Continuum $x \in [0, 1]$ (Complexity / Skill Intensity)
(B) GenAI Paradigm: Cognitive Inversion & Rent Erosion
Pre-LLM Wage Schedule
Post-LLM Wage Schedule (Compressed Rents)
Physical/Dexterity Band (LLM Insulated)
Cognitive Synthesis Band (LLM Displaced)
Cognitive Rent Dissipation ($w_H/w_L \downarrow$)
Equilibrium Wage / Rent Schedule $w(x)$
Task Continuum $x \in [0, 1]$ (Complexity / Skill Intensity)